TRADING MADE SIMPLE

Beginner Notes for the SurajTraderX Course

Clear concepts • Simple examples • Practical checklists

Educational material only. Trading involves risk; no strategy guarantees profits.

How to Use These Notes

Learn one topic at a time. Mark the key ideas, then practise identifying them on historical charts before risking real money.

A few important terms

- **Index:** A measure of how a group of stocks is performing, such as NIFTY 50.
- **Option:** A contract whose value depends on an underlying asset. Options can lose value quickly and may expire worthless.
- **Long / Buy:** You expect price to rise. **Short / Sell:** You expect price to fall (product rules and risks vary).
- **Timeframe:** The duration represented by one candle, such as 15 minutes.

Course map

- 1. Trading Fundamentals
- 2. Market Structure
- 3. Liquidity
- 4. Your Trading Setup
- 5. Entry & Exit
- 6. Risk Management
- 7. Backtesting
- 8. Trading Psychology

1. Trading Fundamentals

Trading means buying or selling a financial instrument according to a plan. The goal is not to predict every move; it is to follow a repeatable process while controlling risk.

Candlesticks

- **Body:** The area between the open and close.
- **Wick:** The thin line showing the high and low reached during the candle.
- **Bullish candle:** Close is above the open.
- **Bearish candle:** Close is below the open.

How to read one candle

- A large body shows a relatively strong move during that period, but does not guarantee continuation.
- Long wicks show price moved away from an extreme before the candle closed.
- Always read candles in context; one candle alone is not a complete strategy.

Indices and options

- An index, such as NIFTY 50, tracks a basket of stocks; you cannot buy an index directly in the same way as a single stock.
- An option is a derivative. A Call (CE) generally gains value when the underlying rises, all else equal; a Put (PE) generally gains value when it falls, all else equal.
- Option premiums also depend on time to expiry, volatility, strike price and other factors. Direction alone does not determine profit.

Beginner rule

Learn the instrument, expiry, lot size, order types and charges before placing a trade.

2. Market Structure

Market structure describes how price is moving over time. It helps you decide whether the market is trending or moving sideways.

Three common conditions

- **Uptrend:** Price generally forms higher highs and higher lows.
- **Downtrend:** Price generally forms lower highs and lower lows.
- **Range:** Price moves between an area of support and an area of resistance.

Support and resistance

- **Support:** An area where buying has previously appeared and price has struggled to move lower.
- **Resistance:** An area where selling has previously appeared and price has struggled to move higher.
- Treat these as zones, not exact magical lines. Price can break through them.

Practical checklist

- Mark the most obvious swing highs and swing lows.
- Ask: trending up, trending down, or ranging?
- Avoid forcing a trend-trading idea into a clear range unless your tested rules allow it.

3. Liquidity

In trading, liquidity can mean how easily an asset can be traded without moving its price much. On price charts, traders also use the term for areas where many orders or stop-losses may be placed.

Common chart areas

- **Previous high:** Some traders may place buy stops above it; short sellers may place stop-losses there.
- **Previous low:** Some traders may place sell stops below it; long traders may place stop-losses there.
- **Equal highs/lows:** Similar price peaks or troughs that can attract attention and orders.

Important clarification

A wick through a high or low does not prove that a large institution deliberately hunted stops. It only shows price traded there and then moved back (if the candle closes back inside).

Common misconception

Liquidity is not a guaranteed reversal signal. Price can pass through a level and continue. Wait for the confirmation required by your tested setup.

4. Your Trading Setup

This section describes the setup outline you shared: use the previous day's high and low as context, then watch the opening 15-minute candle of your selected session. Define the exact rules before testing.

Preparation

- Mark the previous trading day's high and low on the chart.
- Decide in advance which session and opening 15-minute candle you will use.

- Check whether price is between the previous high and low, or has already moved beyond one of them.

Breakout rule

- Wait for the 15-minute candle to **close** beyond the chosen previous-day level. A wick alone is not a close beyond the level.
- For a bullish breakout, your written rule should define the valid level and candle-close condition.
- For a bearish breakout, define the equivalent condition below the level.
- Do not enter merely because price briefly crosses the level.

Before using it live

- Write down exact session times, entry trigger, stop-loss rule, target rule and no-trade conditions.
- Define how you handle gaps, news, wide candles and breakouts that occur too far from the level.
- Backtest the rules consistently; do not change them to fit each chart.

5. Entry and Exit

An entry rule tells you when to open a trade. An exit rule tells you when to close it. Both should be written before the trade.

Entry

- Wait for your required confirmation. Do not confuse a candle wick with a candle close.
- Check that the potential reward is worth the planned risk after estimated charges and slippage.
- If the setup is missed, do not chase price. Wait for the next valid opportunity.

Stop-loss

- A stop-loss is a pre-planned exit level intended to limit loss; the final loss can differ because of gaps or slippage.
- For the setup outline you shared, a CE/long trade may use the breakout candle's low as the invalidation point; a PE/short trade may use its high, if this is exactly what your tested rules specify.
- If the stop is too far away for your risk limit, reduce position size or skip the trade—never move the stop farther away just to avoid a loss.

Exit plan

- Set the target and any partial-profit rule before entering.

- If taking partial profit at 1:2, understand that this means the target is twice the initial risk, not that every trade will earn twice the risk.
- Record the actual exit and reason in your journal.

6. Risk Management

Risk management controls how much you can lose if a trade fails. It cannot make a risky strategy profitable by itself, but it can help limit damage.

Risk-to-reward ratio (R:R)

- **1:2 R:R** means risking ■100 to aim for ■200 before costs.
- A trade with a 1:2 target can still lose. The ratio describes planned risk and reward, not the probability of winning.

Position sizing

- First choose a rupee risk limit. Then calculate quantity from the distance between entry and stop-loss.
- **Basic formula:** Quantity = maximum planned loss ÷ loss per unit if stop-loss is hit.
- For options, account for lot size, premium movement, charges, slippage and gaps. If the minimum lot exceeds your risk limit, skip the trade.

Example

- Suppose your planned maximum loss is ■300 and your stop-loss distance means each unit could lose ■5. The theoretical quantity is 300 ÷ 5 = 60 units, before costs and contract constraints.
- Never increase risk to recover a previous loss. Set a daily loss limit and stop trading when it is reached.

Costs matter

Brokerage, taxes, exchange fees and slippage reduce net results. Track net P&L;, not only gross profit.

7. Backtesting

Backtesting means applying the same written rules to historical market data to see how the setup performed in the past. Past results do not guarantee future performance.

How to test

- Write exact rules before looking for results.
- Move through historical charts one candle at a time, avoiding future information.
- Record every valid setup, including losses and missed trades—not only attractive winners.

- Use enough trades and different market conditions to avoid drawing conclusions from a tiny sample.

What to record

- Date, instrument, session, market condition and setup type.
- Entry, stop-loss, target, exit, result in R, charges and net P&L.;
- Whether you followed every rule, plus a screenshot and short note.

Useful measurements

- **Win rate:** Winning trades ÷ total trades × 100.
- **Average win / average loss:** Compare the typical size of wins and losses.
- **Expectancy:** (Win rate × average win) – (loss rate × average loss), using consistent units and including costs where possible.
- Review performance across different months and conditions. Avoid changing rules after every loss.

8. Trading Psychology

A good plan can fail when emotions change how it is executed. The aim is not to remove every emotion; it is to follow predefined rules despite them.

Common mistakes

- **Overtrading:** Taking extra trades out of boredom or to recover losses.
- **Revenge trading:** Increasing risk after a loss to win money back quickly.
- **FOMO:** Chasing a move after the entry has passed.
- **Moving the stop:** Widening risk because you do not want to accept a loss.

Build discipline

- Use a pre-trade checklist and set a maximum number of trades per session.
- Set a daily loss limit and stop when reached.
- Take a break after a loss or a strong emotional reaction.
- Journal rule-following separately from profit and loss.

Simple journal template

- Date / Instrument / Setup
- Reason for entry / Entry / Stop-loss / Target
- Planned risk / Result in R / Net P&L; after costs
- Did I follow my rules? What will I improve next time?

One-Page Trade Checklist

- Have I marked the previous day's high and low?
- Is this the correct session and opening-candle period?
- Did the candle close beyond the level required by my rules?
- Is my entry trigger clear—not based on FOMO?
- Is the stop-loss placed at the predefined invalidation point?
- Is quantity within my maximum risk limit after costs?
- Are the target and exit rules defined?
- Am I within my daily loss and trade-count limits?
- Will I record this trade whether it wins or loses?

Final reminder

This PDF is for education, not a recommendation to buy or sell any instrument. Trading—especially leveraged derivatives and options—can cause rapid losses. Practise on historical data or a simulator first, and never risk money you cannot afford to lose.

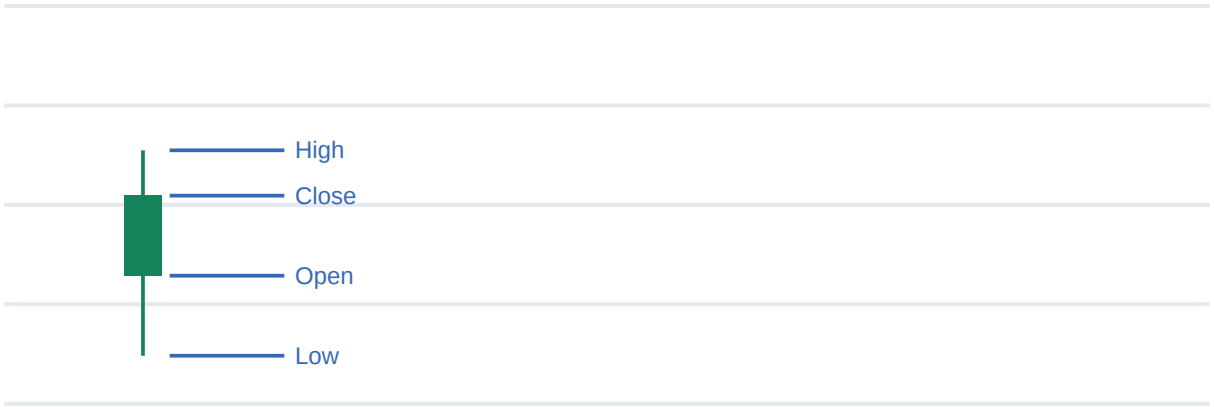
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CHART EXAMPLES | ILLUSTRATIVE, NOT LIVE MARKET DATA

1. Candlestick anatomy

A candle shows open, high, low and close for one time period.

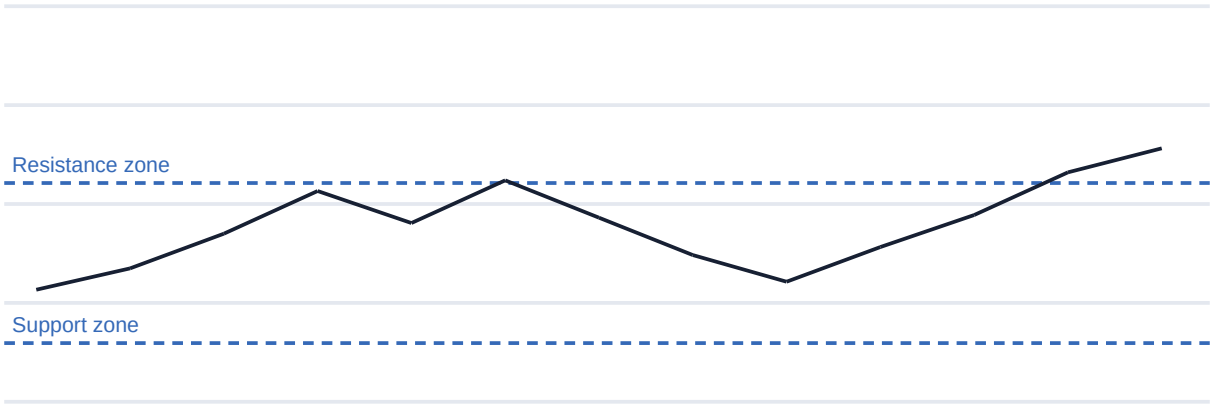


How to read it

- Green candle: close is above the open.
- Red candle: close is below the open.
- Wicks show the high and low reached during that period.
- A candle alone is not a complete trading signal.

2. Support and resistance

Zones are areas of interest—not guaranteed turning points.



Educational sketch with illustrative values. Always verify a level on the actual chart.

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CHART EXAMPLES | BREAKOUTS & TRADE PLANNING

3. Confirmed breakout (illustration)

For your setup: wait for the 15-minute candle to close beyond the level.

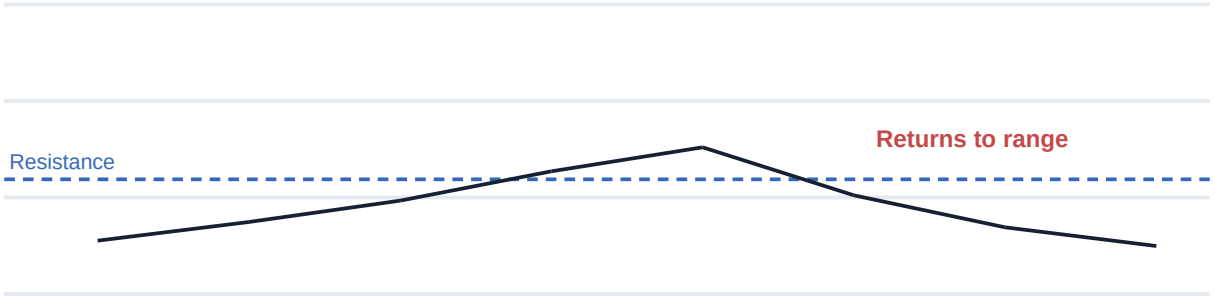


A wick above the level is not the same as a candle close above it.

A close beyond the level is confirmation only if it matches your written rules; false breakouts still happen.

4. False breakout (illustration)

Price briefly crosses the level, then closes back inside the range.



Lesson: don't chase a brief move. Follow the tested close, stop-loss and no-trade rules.

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CHART EXAMPLES | RISK & YOUR SETUP

5. Example of a 1:2 risk-to-reward plan

Illustrative prices only; not a trade recommendation.



The target is twice the planned risk before costs. This does not mean the trade will win.

6. Your 15-minute breakout workflow

Previous-day levels + opening candle + confirmation + controlled risk.

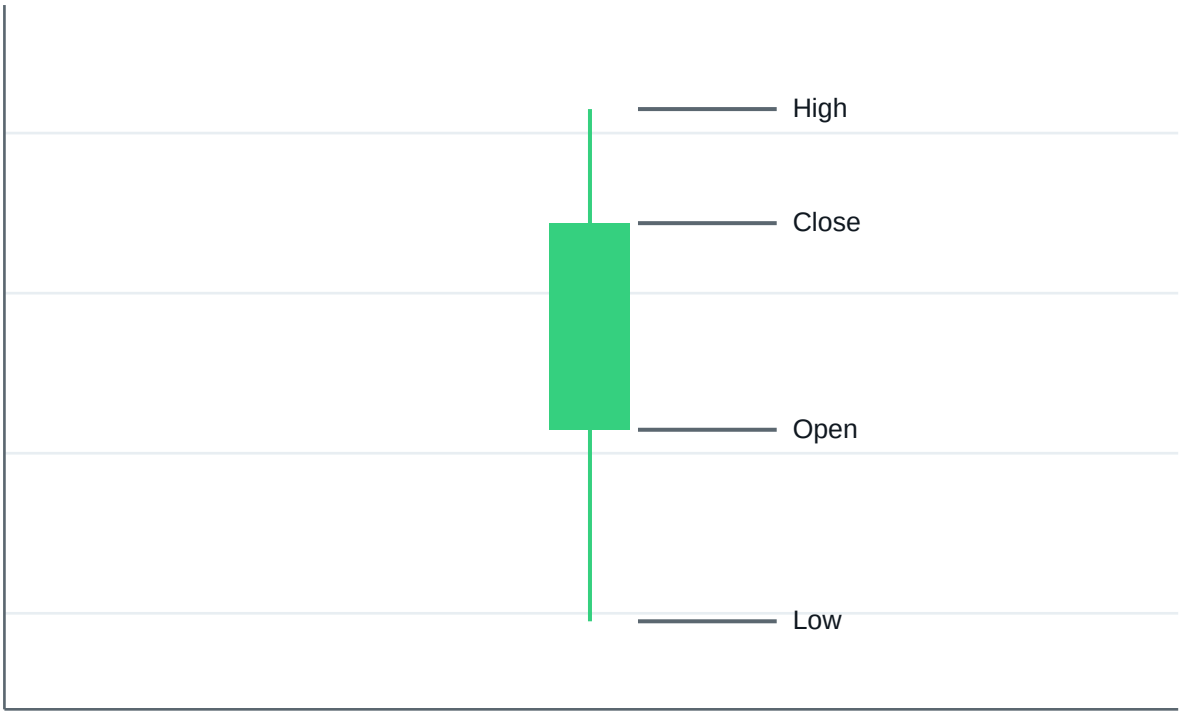
1. Mark previous-day high and low
2. Wait for the selected 15-minute candle to close
3. Check breakout against your written rules
4. Calculate quantity from stop distance and risk limit
5. Record result, charges and rule-following

All charts are original educational sketches—not actual NIFTY historical results.

1. Trading Fundamentals

Candlesticks: open, high, low and close

Anatomy of a bullish candle



Read the candle in context: the body shows the open-to-close move;
the wick marks the high and low reached during the time period.
A bullish candle closes above its open; one candle is not a full strategy.

2. Market Structure

Recognize uptrends, downtrends and ranges

Three common price structures



Uptrend: higher highs and higher lows. Downtrend: lower highs and lower lows.
Range: price oscillates between support and resistance zones.
These are visual examples only; mark obvious swings and avoid forcing a trend idea into a range.

3. Liquidity

Previous highs/lows and possible order clusters

Illustrative equal highs and a sweep



Price briefly trades above the prior highs, then returns below the zone.
This shows a sweep-like move, not proof that an institution hunted stops.
Liquidity areas are not guaranteed reversal signals; wait for your tested confirmation.

4. Your Trading Setup

Previous-day levels + selected 15-minute candle

Breakout setup workflow (illustrative)

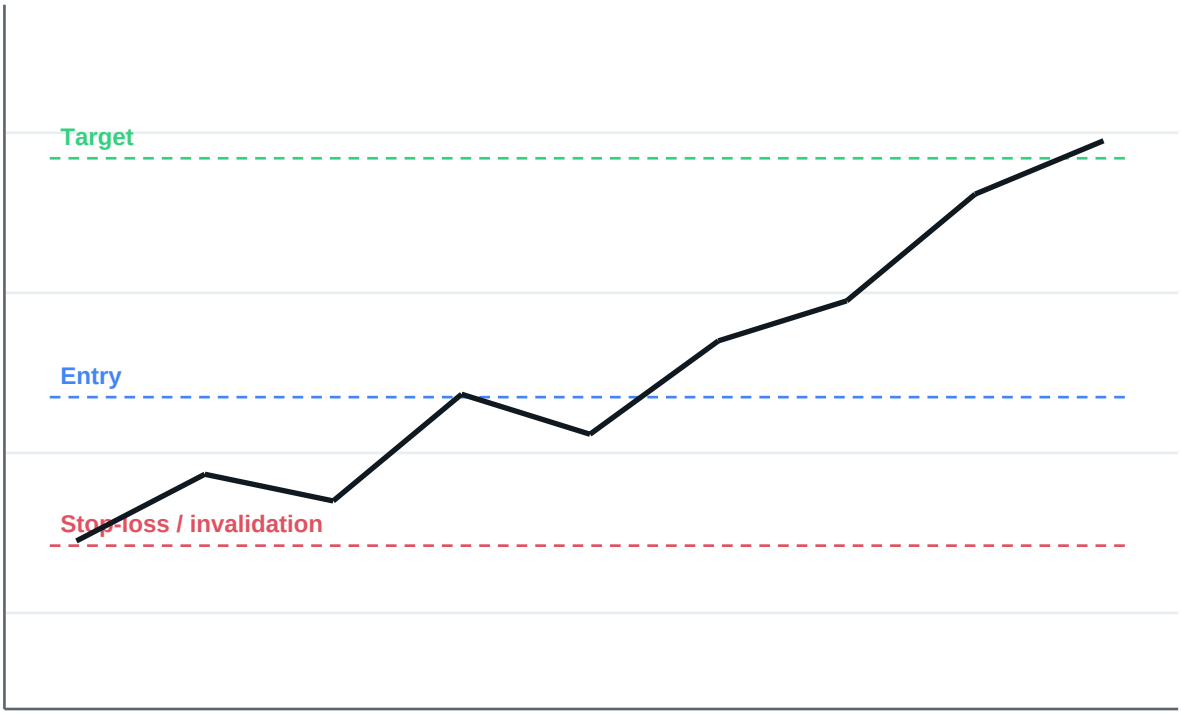


Mark the previous trading day's high and low first.
Wait for the selected 15-minute candle to CLOSE beyond the chosen level;
a wick alone is not a close. Define session time, entry trigger and no-trade rules.

5. Entry and Exit

Entry trigger, invalidation point and target

Example long-trade plan



Only enter after the written confirmation appears. Place the stop at the predefined invalidation point and set the target before entry.
If the setup is missed, don't chase price; a stop can still slip in fast markets.

6. Risk Management

Risk-to-reward and position sizing

Illustrative 1:2 risk-to-reward

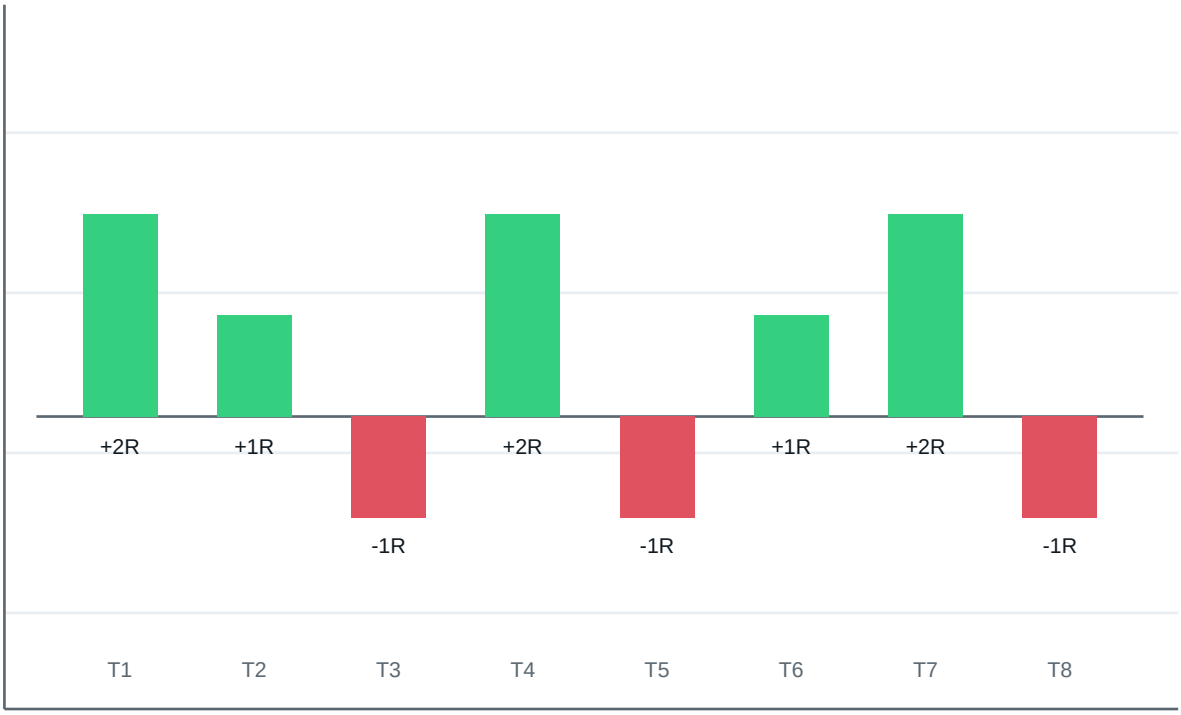


If the planned risk is ■100, a 1:2 target is ■200 before costs.
Quantity = maximum planned loss ÷ loss per unit if the stop is hit.
Include lot constraints, charges and slippage; skip trades that exceed your risk limit.

7. Backtesting

Record every valid setup and review the results

Illustrative net result across 8 test trades

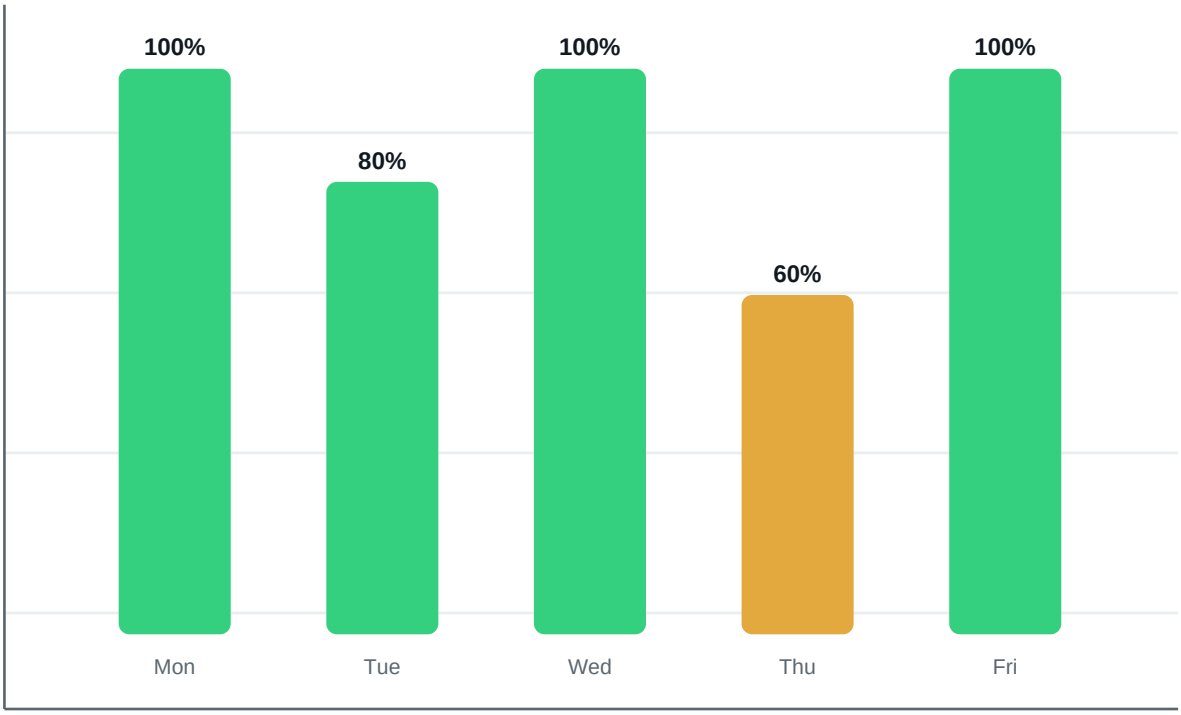


This made-up sample demonstrates recording wins and losses in R; it is not a performance claim. Track every valid setup, charges, market condition and whether rules were followed. A small sample cannot establish a reliable edge.

8. Trading Psychology

Track rule-following, not only profit and loss

Example: rule-following across 5 sessions

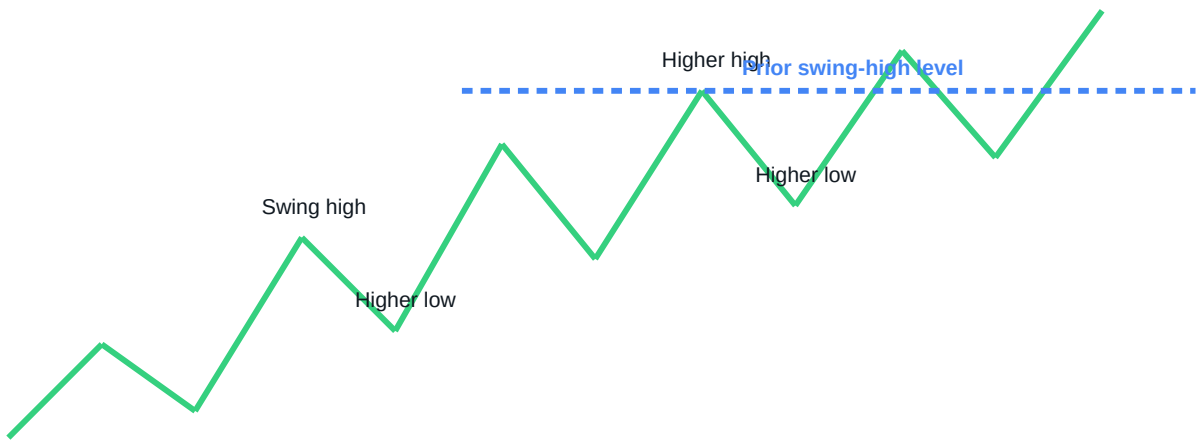


Illustrative checklist score: did you follow the entry, stop, risk and trade-count rules?
FOMO, revenge trading and moving stops can break a plan.
Take a break after strong emotions and journal discipline separately from net P&L.

Market Structure: BOS & CHoCH

Separate a meaningful swing break from ordinary candle noise

Illustrative swing sequence

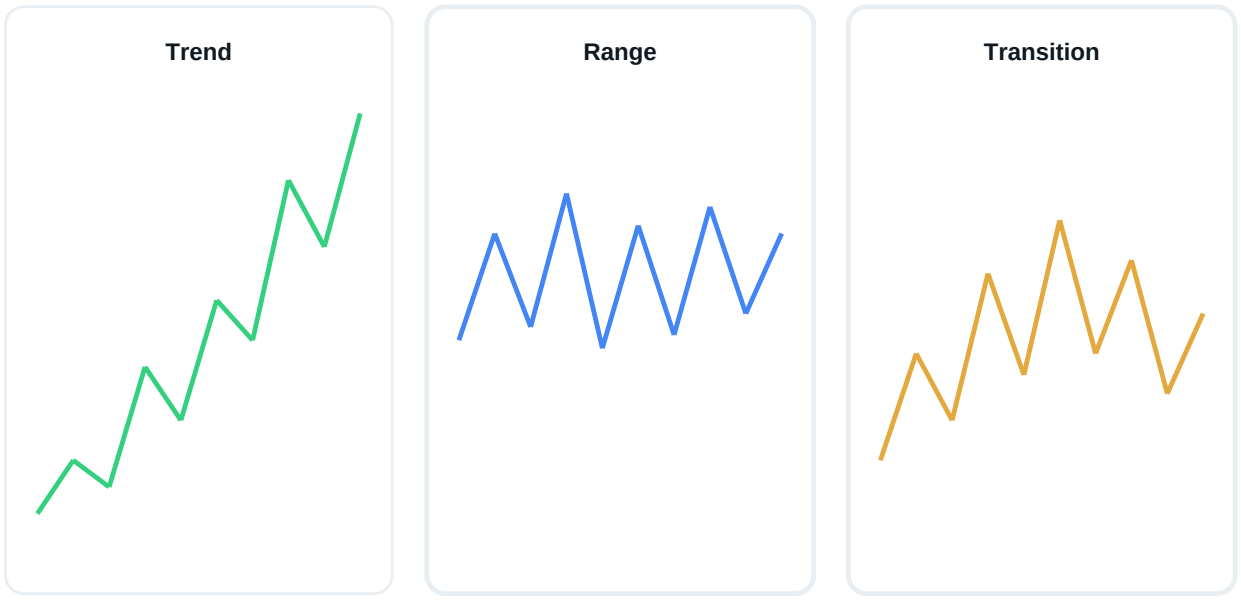


BOS (break of structure): price breaks a prior swing in the direction of the current move.
CHoCH (change of character): a potential early sign that the previous structure may be shifting.
Rules vary between traders. Define swing points objectively; a wick-only break may not qualify if your plan requires a candle close. Neither label predicts the next move with certainty.

Market Regime & No-Trade Zones

Identify trend, range and transition conditions before looking for an entry

Three simplified regimes



Trend: swings tend to progress in one direction. Range: repeated rejection between boundaries.
Transition: structure is mixed; breakout attempts may fail more often.
Create objective filters (swing sequence, range width, time of day) and test them.
If the regime is unclear or your setup rules are not met, the no-trade decision is valid.

Liquidity Sweep vs Acceptance

A brief breach and a sustained move beyond a level are different outcomes

Two outcomes at a prior high

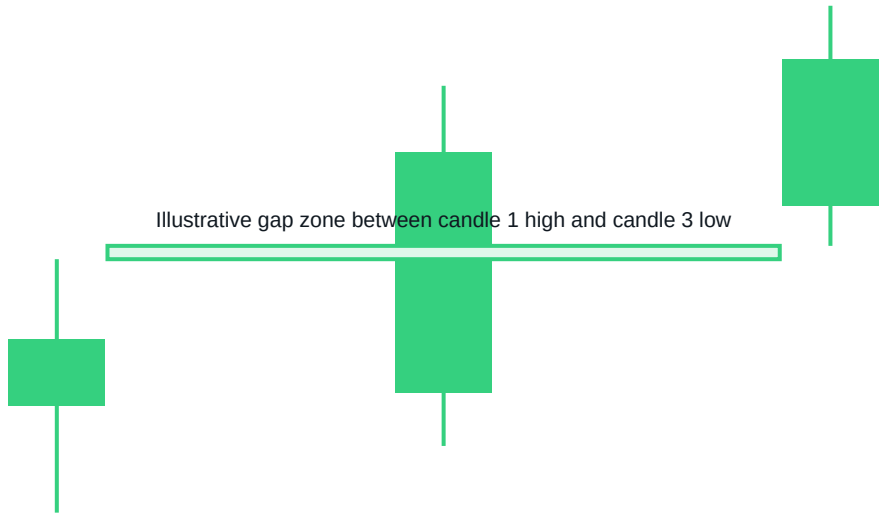


Sweep/rejection: price trades beyond a level but returns inside; this alone is not a signal.
Acceptance: price holds beyond the level or builds structure above it, depending on your rules.
Use close, retest, volume or time filters only if defined and tested. Avoid hindsight labels.

Fair Value Gap (FVG) & Imbalance

A three-candle schematic; chart definitions differ by methodology

Bullish three-candle imbalance (concept sketch)

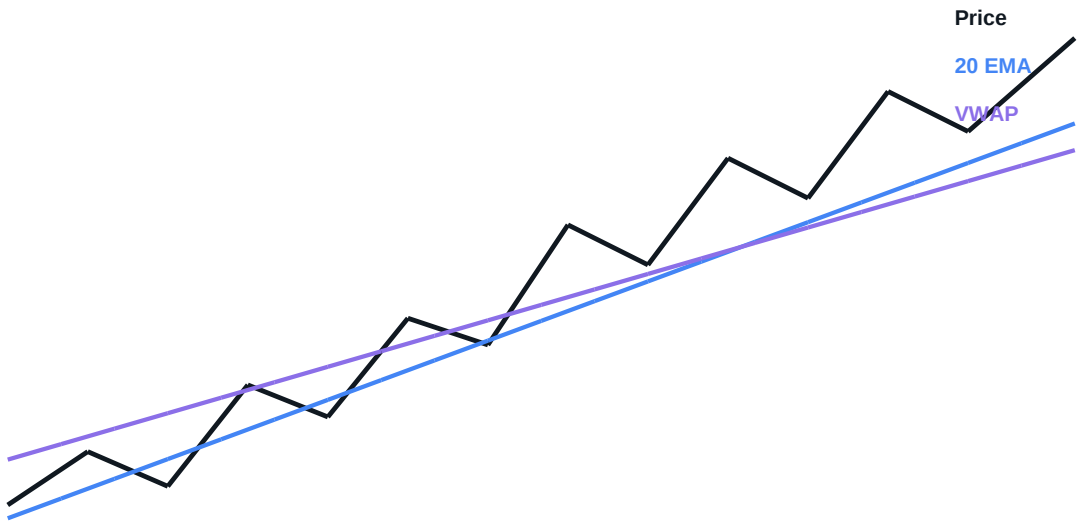


A commonly used bullish FVG definition looks for candle 1 high below candle 3 low, with the middle candle showing strong displacement. A bearish version is the inverse. Some traders watch for price to revisit the zone; fills and reactions are not guaranteed. Do not treat an FVG alone as an entry. Combine it only with a fully tested plan.

VWAP + 20 EMA: Confluence, Not Certainty

Illustrative trend filter for your stated setup style

Price, EMA and VWAP (schematic)

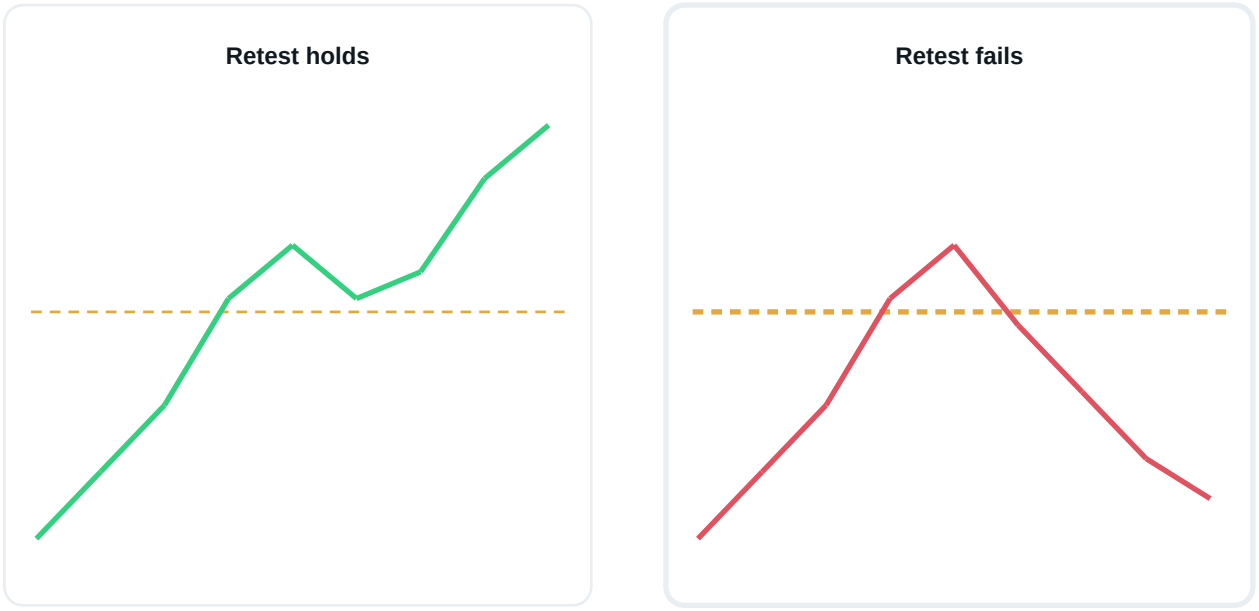


EMA weights recent prices more heavily; VWAP weights traded price by volume for the session. Confluence can help describe context, but lagging indicators may disagree or whipsaw in ranges. Specify timeframe, session reset, entry trigger and invalidation. Backtest all filters together.

Breakout, Retest & Failed Breakout

Compare close beyond level with a retest that holds or fails

Two possible post-breakout paths

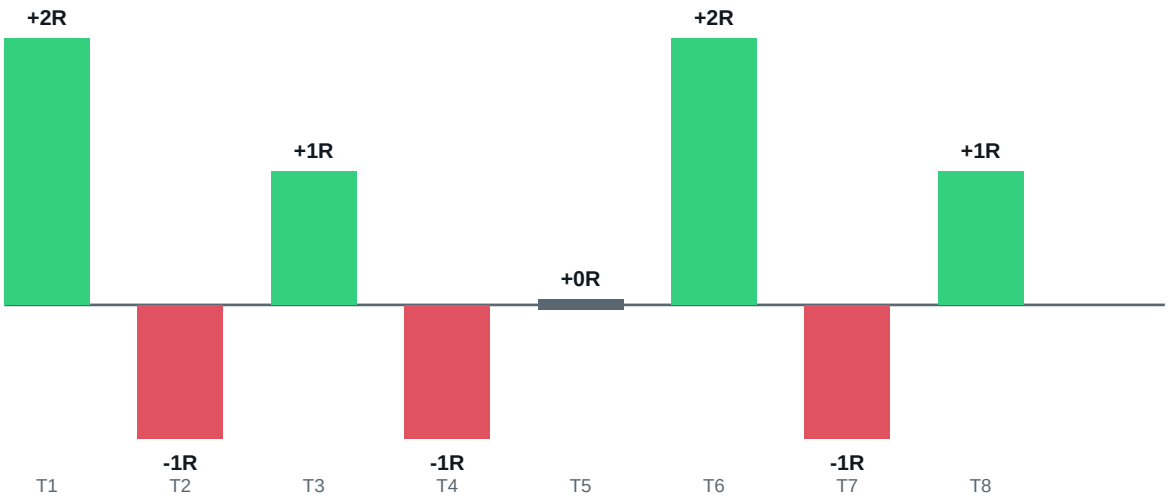


Breakout confirmation should follow your rules (for example, a 15-minute close beyond a level).
A retest is a separate event; price may hold, chop around the level or return to the range.
Predefine whether a retest is required. Do not change the rule after seeing the outcome.

Trade Planning with R-Multiples

Compare outcomes in units of initial planned risk

Illustrative trade outcomes



R expresses outcome relative to the initial planned risk: +2R is twice risk; –1R is one risk lost.
This sample totals +3R before costs, but a tiny illustrative sample proves nothing about future results.
Include charges, slippage, partial exits and execution differences when calculating real expectancy.

Position Sizing & Risk Limits

Calculate size from a loss limit—not from a profit target

Example arithmetic (illustrative)

Maximum planned loss: ■300

Stop distance: ■5 per unit

Theoretical quantity = ■300 ÷ ■5 = 60 units

Then adjust for costs, slippage, lot size and gaps.

The formula is a starting point, not a promise that the final loss cannot exceed ■300.
For options, premium movement and lot constraints can make the simple unit formula inadequate.
If the minimum tradable size exceeds your risk limit, skip the trade. Never size up to recover.

Backtesting: Win Rate Is Not Enough

Expectancy combines win rate, average win and average loss

Illustrative expectancy comparison

Strategy A: 40% wins



Avg win +2R | avg loss –1R

Expectancy = (0.40 × 2) – (0.60 × 1) = +0.20R

Strategy B: 70% wins



Avg win +0.5R | avg loss –1.5R

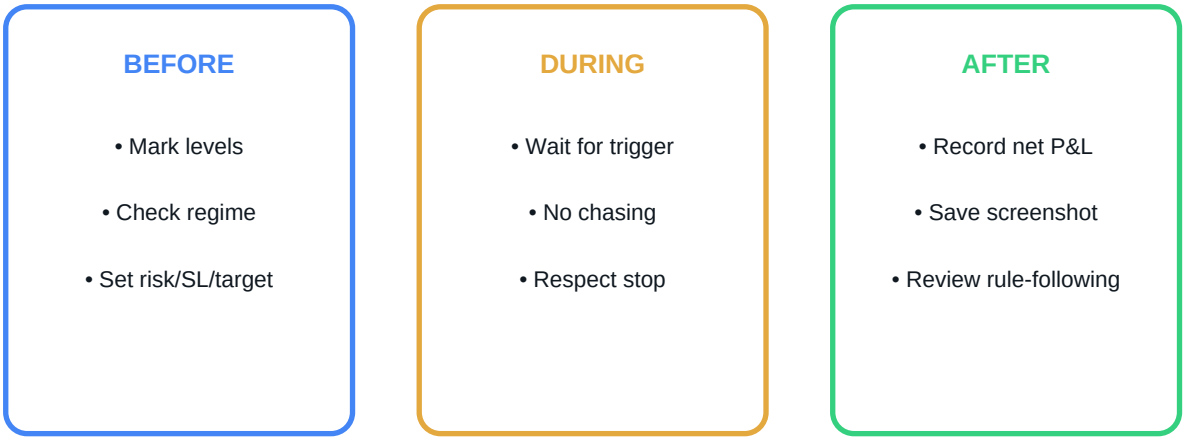
Expectancy = (0.70 × 0.5) – (0.30 × 1.5) = –0.10R

A high win rate can still lose money when losses are larger than wins.
Use enough trades, include costs, and test trend, range and volatile periods separately.
Track drawdown and rule-following, not just the most attractive screenshots.

Execution Protocol & Trading Psychology

Use a repeatable checklist before, during and after a trade

Three-stage process



If a rule is missed, stop and review instead of adding trades to recover a loss.
Use a daily loss limit and maximum trade count chosen before the session.
The goal is consistent execution and measured risk—not a guaranteed daily income.